Revision Notes 2

Manuscript: EEREV-D-26-00102R2, "Rent Control? Bad in Theory, Not Always in Practice"
Authors: Shahar Rotberg and Lin Zhang

Dear Professor Pappa,

Thank you for the conditional acceptance of our paper. We are grateful to you, the Associate Editor and the referees. This note responds point by point to the items in your letter.

Our submission now includes the manuscript, the figure source files and the replication files.

1. Preparing the files for production

- **Labels.** Every file name includes the manuscript number and states what the file is: `EEREV-D-26-00102R2_manuscript`, `_appendix`, `_references`, `_Table_1` to `_Table_6`, `_Figure_1`, `_Figure_2`, `_ReadMe`.
- **Figures.** Each figure file carries the figure number used in the article: `EEREV-D-26-00102R2_Figure_1.eps` and `EEREV-D-26-00102R2_Figure_2.eps`. Following Elsevier's artwork instructions, both are vector EPS files with embedded Arial-compatible fonts, sized for full page width (190 mm), where all lettering prints at 7 pt or larger.
- **Underscores.** No file name contains spaces.
- **ReadMe.** The replication zip contains `EEREV-D-26-00102R2_ReadMe.pdf`. It lists every file in the package with its purpose and format, and explains the data sources and how they were used, the software required, run times, how to run the code, and which output file produces each number in Tables 2-6 and Figure 2.
- **Size.** The replication files total about 18 MB, below the 100 MB limit, so we upload them directly. The same files are also available at https://github.com/srotberg/rent_control_bad_in_theory_not_always_in_practice, which is cited in the paper's first footnote.
- **Two zip folders.** `EEREV-D-26-00102R2_Source_files.zip` and `EEREV-D-26-00102R2_Replication_files.zip`.

2-4. File inventory

Manuscript and LaTeX source files (`EEREV-D-26-00102R2_Source_files.zip`):

- `EEREV-D-26-00102R2_manuscript.tex`: the manuscript. It reads the appendix, each table and each figure from the separate files below.
- `EEREV-D-26-00102R2_appendix.tex`: the appendix.
- `EEREV-D-26-00102R2_Table_1.tex` to `EEREV-D-26-00102R2_Table_6.tex`: one file per table, numbered as in the article.
- `EEREV-D-26-00102R2_references.bib`, `EEREV-D-26-00102R2_manuscript.bbl` and `aer.bst`: the bibliography, its compiled version, and the AER bibliography style.
- `EEREV-D-26-00102R2_manuscript.pdf`: the compiled manuscript.
- `EEREV-D-26-00102R2_Figure_1.eps` and `EEREV-D-26-00102R2_Figure_2.eps`: artwork (vector EPS). Vector PDF copies of the same two figures are included so that the LaTeX source compiles directly with pdfLaTeX.

Replication files (`EEREV-D-26-00102R2_Replication_files.zip`, supplementary material for online publication):

- `EEREV-D-26-00102R2_ReadMe.pdf`
- `code/`: the Fortran source that produces every simulation result, with instructions.
- `data/`: the data and Stata scripts behind the calibration targets and data moments.
- `outputs/`: the output file of every simulation, including the six reported in the paper.
- `plots/`: the Python scripts that draw Figures 1 and 2, and the figure files.

All data files in the package may be redistributed.

Data, following the replication policy for simulation papers. The package contains the data sets used to run the final models (the statistics used as calibration targets and data moments) and all programs. Some of these statistics were computed from 2016 Census of Population and 2019 Survey of Financial Security microdata, which are Statistics Canada files; the Census statistics were vetted. As the policy allows for intermediate data, these two microdata files are not included. The ReadMe describes how they and the Stata scripts, which are included, were used to produce the final data sets, and explains how the microdata can be obtained. We will cooperate fully with any researcher who requests them for replication.

Corrections made while preparing the replication files

While checking every reported number against the simulation output files, we found and corrected the following. None of these changes affects the paper's conclusions.

- **Table 5.** Five cells now match the output files: Experiment 2 free-market rent (5.76 to 5.74) and homeownership (-1.08 to -1.02 p.p.); Experiment 3 homelessness (70.50 to 70.47); Experiment 4 controlled initial rent (-39.02 to -39.20) and homeownership (1.12 to 1.17 p.p.).
- **Figure 2.** The model lines were drawn from an earlier run of the benchmark; they are now drawn from the benchmark simulation reported in the paper. The patterns are unchanged, except that the model's homeownership rate after age 66 is now higher than in the data, so the sentence describing panel (a) in Section 4.3 now reads "the model over-predicts homeownership among middle-aged and older households and under-predicts it for young cohorts."
- **Figures 1 and 2.** Now supplied as vector artwork with the same content; the previous Figure 1 was a low-resolution image.
- **LaTeX.** Minor fixes so that the source compiles without errors; these do not change any content.

Changes to follow the Guide for Authors

- Acknowledgements moved from the footnote to the title into a separate section before the references.
- Funding statement added: this research did not receive any specific grant.
- Data availability statement added, citing the supplementary replication files.
- Appendix equations numbered (A.1)-(A.4).

Sincerely,

Shahar Rotberg, on behalf of both authors